

INVESTMENT MEMO: GEORGIA BOUTIQUE WINERY DECISION

Executive Summary & Recommendation

Recommendation: Invest in **Frogtown Cellars**; reject **Wolf Mountain Vineyards**.

The investment requires approximately \$0.7M for a 10% minority stake with a six-year holding period. Using revenue ranges and a revenue-multiple valuation framework, the estimated value of the 10% stake after six years ranges from approximately \$0.5M under adverse conditions to \$1.3M under favorable execution, with an expected value of approximately \$0.9M.

Mission alignment: Frogtown supports high-quality Georgia wine by focusing on estate-grown production and premium winemaking rather than tourism-driven volume.

The key risk is vintage variability combined with weaker-than-expected wine-club retention. Frogtown mitigates this risk through estate vineyard control and premium pricing power, which allow pricing, channel mix, and inventory adjustments in weaker years.

Business Model Comparison

Frogtown Cellars

Frogtown operates a wine-first model, where hospitality functions as a distribution channel rather than the economic engine. (Appendix AI 2)

Key characteristics:

- 57 acres of estate vineyards, providing supply stability and consistent grape quality
- Insulation from purchased-fruit price and quality volatility
- Alignment between viticulture and winemaking decisions
- Premium positioning, with most wines priced above \$40 per bottle

Brand equity is built around Georgia-grown, estate-driven quality, allowing demand to extend beyond on-site experiences.

The economic logic is direct:

estate vineyards → premium wine quality → club retention → repeat DTC revenue → scalable equity value.

Wolf Mountain Vineyards (Appendix AI 3)

Wolf Mountain produces distinctive wines, particularly its traditional-method sparkling program, but operates a hospitality-centric model.

Structural limitations:

- Revenue driven by weddings, events, restaurants, and tourism
- Wine sales closely tied to on-site visitation
- Sparkling wine production requires multi-year aging, high labor input, and specialized equipment, tying up working capital

At current scale, fixed costs and capital intensity compress margins and reduce returns on invested capital, limiting terminal value for minority equity.

Tradeoff Analysis

Choosing Frogtown means forgoing Wolf Mountain's stronger short-term hospitality cash flow, event-driven revenue stability, and the distinctiveness of its traditional-method sparkling wines, a program that is rare in Georgia and contributes to Wolf Mountain's reputation as a destination. However, these product-level strengths do not overcome the structural limits of a hospitality-centric model.

Wolf Mountain's revenue depends on weddings, events, restaurant throughput, and tourism flows. These sources scale linearly with physical capacity and labor and exhibit higher volatility. By contrast, Frogtown's production-driven model compounds through premium pricing, wine-club retention, and repeat DTC demand, allowing revenue to grow without proportional increases in cost or capacity.

Under a patient-capital mandate, the long-term compounding of a scalable DTC model outweighs the near-term cash flow and product uniqueness of a hospitality-centric operation.

Revenue Outlook (Appendix 3)

Private disclosure limits precision, so revenue is modeled using scenario-based ranges rather than point forecasts. Starting revenue is approximately \$4.2M, based on publicly available estimates (Kona Equity). The expected case assumes mid-single-digit annual revenue growth (approximately 5.5%), consistent with the 2025 BMO Wine Market Report's outlook for premium, DTC-focused wineries. (Appendix AI 5)

Six-year scenarios:

- Low case: weaker vintages, flat club membership, higher wholesale mix, declining Gen Z adoption
- Expected case: stable retention, modest price increases, normal vintages
- High case: strong club growth and premiumization

These ranges assume outperformance relative to the broader U.S. wine industry while remaining constrained by acreage, production capacity, and brand scale.

Valuation Framework (Appendix 3)

The valuation uses a 1.6× entry multiple, reflecting an approximately 30% private-company discount to Willamette Valley Vineyards' public multiple of ~2.3× EV/Revenue. This discount captures illiquidity, minority ownership, smaller scale, and higher operational risk inherent in private, asset-heavy wineries. The expected case assumes a flat 1.6× exit multiple, as private markets rarely reward multiple expansion; value is driven by revenue growth and asset backing, not re-rating. (Appendix AI 4)

Returns therefore rely on revenue growth, mix improvement, and repeat DTC demand, not multiple expansion. The low case assumes compression to 1.0×, supported by asset value. The high case allows modest expansion to 1.8× if Frogtown shows stronger premium pricing, wine-club growth, and brand reach.

This structure reflects private-market behavior. Multiples stay flat in normal conditions, fall under stress, and expand only when business quality improves.

Sensitivity & Downside Protection

Wine-club retention drives value. Recurring club purchases stabilize revenue and support margins. Frogtown's Citizen's Wine Club creates repeat DTC demand, lowers customer acquisition cost, and builds loyalty that hospitality-centric wineries cannot replicate. Small changes in retention materially affect long-term revenue. Pricing power and higher DTC mix act as secondary drivers by raising revenue without proportional cost increases. Vintage variability matters, but it mainly affects yield and inventory timing, not long-term demand.

Tangible assets support downside protection. Frogtown controls 57 acres of estate vineyards, which retain agricultural value independent of operating performance and remain scarce in Georgia's premium growing areas. Winery equipment holds resale value based on replacement cost. Finished wine inventory can be sold at discounted margins under stress. Liabilities reduce recoverable value, but land, equipment, inventory, and a stable club base together provide a credible valuation floor under adverse conditions. (Appendix AI 2)

Capital Deployment & Investor Role

The investment requires approximately \$0.7M for a 10% minority stake. The analysis assumes no follow-on capital. Frogtown drives growth through pricing discipline, wine-club optimization, and channel mix, not through capacity expansion or new vineyard development. The investor holds a passive minority position. The role includes periodic strategic input and no operational control. This structure fits a patient, non-activist capital mandate.

Potential exit paths include a strategic sale to a regional wine group or a recapitalization as a scaled premium Georgia producer.

Final Recommendation

Invest in **Frogtown Cellars** & reject **Wolf Mountain Vineyards**.

Frogtown supports high-quality Georgia wine and operates a production-driven DTC model that scales through pricing and wine-club retention. Wolf Mountain produces distinctive wines and strong hospitality cash flow, but its event-driven, capacity-constrained model limits scalability and long-term compounding for minority equity.

Appendices:

Appendix 1: Key Assumptions

Operating Assumptions

- Starting revenue: ~\$4.2M (Kona Equity, 2024)
- Estate acreage: ~57 acres under Frogtown control (as disclosed on the company website)
- Wine-club base: stable membership in expected case, (Frogtown Citizen's Wine Club)
- Pricing growth: ~2–4% annually in expected case
- No major capacity expansion or new vineyard development
- Gen Z demand softness reflected in low case

Revenue Scenario Assumptions

- Low case: weak vintages, flat club retention, higher wholesale mix
- Expected case: stable retention, modest pricing, normal vintages
- High case: wine-club growth and premiumization

Valuation Assumptions

- Public comparable: Willamette Valley Vineyards at $\sim 2.3\times$ EV/Revenue
- Private-company discount: $\sim 30\%$ (illiquidity, minority stake, scale)
- Entry multiple: $1.6\times$ EV/Revenue
- Exit multiples: $1.0\times$ (low), $1.6\times$ (expected), $1.8\times$ (high)
- Returns driven by revenue growth and mix, not multiple expansion

Capital & Investor Assumptions

- Investment size: ~\$0.7M for 10% minority stake
- No follow-on capital assumed
- Passive minority investor

Downside Protection Assumptions

- Vineyard land retains agricultural value
- Winery equipment retains resale value
- Finished wine inventory liquidatable at discounted margins
- Liabilities reduce, but do not eliminate, asset-backed value floor

Appendix 2: Comparable Companies

- **Primary comparable:** Willamette Valley Vineyards
- **Rationale for selection:** Publicly traded, premium wine producer with estate vineyards, strong DTC and wine-club focus, and limited reliance on mass wholesale channels, making it directionally comparable to Frogtown's quality-driven model
- **Public trading multiple:** $\sim 2.3\times$ EV/Revenue
- **Adjustment for comparability:** Public multiple discounted by $\sim 30\%$ to reflect private-company characteristics
- **Private-company discount factors:** Illiquidity, minority ownership, smaller scale, limited exit optionality, and higher operating concentration risk
- **Implied private multiple:** $\sim 1.6\times$ EV/Revenue
- **Entry multiple used:** $1.6\times$ EV/Revenue
- **Exit multiples assumed:**
 - Low case: $1.0\times$
 - Expected case: $1.6\times$
 - High case: $1.8\times$

Appendix 3: Revenue Growth Assumptions and Forecast Methodology

- **Base growth assumption:** ~5.5% annually
Based on the 2025 Wine Market Report published by BMO Financial Group, which indicates that a majority of U.S. and Canadian wineries expect mid-single-digit revenue growth, driven primarily by premiumization and direct-to-consumer (DTC) channels despite softness in overall wine consumption.
- **Downside growth assumption:** 1.5%
Reflects weaker consumer demand, declining Gen Z adoption, higher price sensitivity, and lower wine-club retention, consistent with industry concerns highlighted in the report.
- **Upside growth assumption:** above 9.0%
Assumes stronger wine-club retention, successful premium pricing, and continued mix shift toward higher-margin DTC channels, allowing premium wineries to outperform industry averages.

3.1 Six-Year Revenue Forecast Under Growth Scenarios

All values in USD millions.

Year	Revenue (Downside)	Revenue (Base)	Revenue (Upside)
0	4.2	4.2	4.2
1	4.3	4.4	4.6
2	4.3	4.7	5.0
3	4.4	4.9	5.4
4	4.5	5.2	5.9
5	4.5	5.5	6.5
6	4.6	5.8	7.0

3.2 Valuation Scenarios and Implied Equity Value

Enterprise Value at Entry Level (Today):

Entry Multiple: 1.6× EV/Revenue

Revenue: \$4.2M

Implied EV: \$6.7M

Implied value of 10% minority stake: \$0.7M

Enterprise Value at Exit Level (in six years):

All values in USD millions.

Case	Year 6 revenue	Multiple	Implied EV	Value of 10% stake
Downside	4.6	1.0 x	4.6	0.5
Base	5.8	1.6 x	9.3	0.9
Upside	7.0	1.8 x	12.7	1.3

Assumes negligible net debt for simplicity.

Appendix AI:

Appendix AI 1: Primary Research Prompts

Prompts:

- Provide a list of the 30 largest wineries in Georgia. Include an estimate of volume, revenues, profit, and number of employees. Include any awards given. Indicate equity owners and if the winery has received or tried to raise venture funding. If they have received venture funding, include the funder and the amount.
- Identify, among the top 30 wineries in Georgia, which wineries operate without any on-site lodging, including hotels, resorts, villas, or similar hospitality accommodations and also provide their unique features, if any.

How AI Outputs were verified:

AI provided an initial directional list of Georgia wineries. I then manually verified each winery using its official website to confirm:

- the winery is actually located in Georgia
- it is currently operating
- its services, lodging options, and business model

Any AI-generated financials or ownership details without public confirmation were discarded. Only manually validated information was used in the memo.

Appendix AI 2: Frogtown Cellars Business Profile Request

Prompt: Describe Frogtown Cellars, including its key business characteristics, estimated revenue, the acreage of estate land it owns, its average bottle pricing, whether it is primarily a B2C or B2B winery, and details of any wine club programs it operates.

How AI Outputs were verified:

AI correctly identified Frogtown Cellars' qualitative characteristics, including its premium positioning, estate-grown production model, and direct-to-consumer focus. However, AI outputs did not provide reliable or verifiable financial or operational data. As a result, all quantitative inputs used in this analysis were independently verified using public sources.

Estimated revenue of approximately \$4.2M was sourced from Kona Equity. The presence of approximately 57 acres of estate vineyards was confirmed through Frogtown Cellars' official website. The structure and role of the Frogtown Citizen's Wine Club were also verified using disclosures on the winery's website. In addition, pricing observations were independently validated, with nearly all current wine offerings listed at prices exceeding \$40 per bottle, supporting the winery's premium positioning.

References (Public Sources):

- Kona Equity (revenue estimate): <https://www.konaequity.com/company/frogtown-cellars-llp-4391579534/>
- Frogtown estate acreage: <https://frogtown.com/pages/about-frogtown>
- Pricing structure: <https://frogtown.com/pages/shop>
- Citizen's Wine Club: <https://frogtown.com/pages/citizens-wine-club>

Appendix AI 3: Business Model and Structural Constraints Analysis (Wolf Mountain Vineyards)

Prompt: Describe Wolf Mountain Vineyards' business model, sparkling wine positioning and consumer base, any relevant market data, and whether grapes are estate-grown or externally sourced

AI outputs were used only to frame hypotheses about Wolf Mountain's business model and were then cross-checked against public sources. Wolf Mountain's own materials and third-party listings show a hospitality-centric model: the winery actively markets itself as a wedding and events venue ("we set the standard for North Georgia Vineyard Weddings") and operates a full restaurant with Sunday brunch, café lunches, and gourmet dinners alongside tastings. These disclosures support the characterization that a significant share of revenue is driven by on-site experiences, weddings, events, restaurant traffic, and tourism, rather than scalable off-site distribution.

References:

Weddings focus: <https://www.wolfmountainvineyards.com/events>

Appendix AI 4: Public Comparable Company Identification and Valuation Multiples

Prompt: List publicly traded U.S. premium wine producers and provide their EV/Revenue multiples. Include a brief note on business model and why each company is a relevant comparable.

How AI Outputs were verified:

AI initially identified Willamette Valley Vineyards, Duckhorn Portfolio (NAPA), and Vintage Wine Estates (VWE) as potential public comparables, citing their premium brand positioning and focus on higher-end wine segments. Upon independent verification using Yahoo Finance, it was determined that Duckhorn Portfolio and Vintage Wine Estates are no longer publicly traded, having been delisted following take-private transactions. These companies were therefore excluded from the comparable set.

Willamette Valley Vineyards remained a valid public comparable, as it is currently publicly listed and operates a premium, estate-driven, direct-to-consumer-oriented business model that aligns closely with Frogtown Cellars across key operating and strategic dimensions. The EV/Revenue multiple for Willamette Valley Vineyards was obtained directly from Yahoo Finance, where the required valuation metrics were publicly available and independently verified.

References:

Willamette Valley Vineyards multiple: <https://finance.yahoo.com/quote/WVVI/key-statistics/>

Appendix AI 5: Industry Growth Rates and Structural Headwinds

Prompt: What is the current average revenue growth rate for the U.S. wine industry, with specific focus on premium and direct-to-consumer (DTC) wineries? Identify the key structural drawbacks and headwinds facing the industry, including consumer demand trends, demographic shifts, cost pressures, and distribution challenges.

How AI Outputs were verified:

AI outputs suggested an industry revenue growth rate of approximately 7%. This figure was independently verified against the 2025 BMO Wine Market Report, which states that more than 70% of wineries in the United States and Canada expect sales growth exceeding 5% over the next five years.

Based on this external benchmark, a conservative base-case growth assumption of 5.5% was adopted for the valuation. This adjustment reflects prudence given broader wine-industry headwinds while remaining consistent with expectations for premium, direct-to-consumer-focused wineries.

References:

2025 BMO Wine Market Report: <https://commercial.bmo.com/en/us/insights/2025-wine-market-report/>